

१. Book Keeping & Accounting Concept
२. Journal Voucher, Bank Cash Book
३. Trial Balance
४. Profit and Loss Account & Balance Sheet
५. Financial Ratios

Book Keeping- लेखा अभिलेखन

- Bookkeeping involves the recording, on a regular basis, of a company's [financial transactions](#).
- With proper bookkeeping, companies are able to track all information on its books to make key operating, investing, and financing decisions.
- Bookkeepers are individuals who manage all financial data for companies.
- व्यवसायिक कारोबारको नियमित र विधिवत रूपमा अभिलेख राख्ने कार्य,
- व्यावसायिक कारोबारहरूको विभिन्न वही वा किताबको अभिलेख राख्ने कला,
- मौद्रिक मूल्यमा व्यक्त गर्न सकिने सम्पूर्ण व्यावसायिक कारोबारहरू यसमा समेटिने।

Importance of Bookkeeping

1. To fulfill tax obligations

Bookkeeping ensures that all important financial documents, incomings and outgoings are thoroughly recorded in order to pay corporate tax. Without appropriate bookkeeping throughout the financial year, it can be incredibly difficult to file an accurate tax return. Incorrect returns could mean the business overpays, which could put pressure on their cash flow, or underpays, which could result in extra demands for payments with interest. Furthermore, VAT-registered businesses have to submit a VAT return every few months detailing VAT charged and paid; bookkeeping is essential to keep up with these requirements.

2. To fulfil legal obligations

It's not enough for businesses to simply submit tax returns and VAT returns; they must also maintain business records in order that HMRC can audit their finances at any point they wish. This is to ensure that the business is paying adequate tax, wages and National Insurance contributions. It is the bookkeeper's job to ensure all these records are kept up to date, with every important transaction appropriately recorded to prevent any discrepancies with previously submitted tax returns.

3. For better analysis and management of business finances

Bookkeeping isn't just about maintaining financial records; it's about analysing them too. Every business needs to maintain a healthy cash flow in order to continue to pay staff and suppliers. Failing to do so could prevent the business from functioning as normal, which could lead to

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lost business and, in extreme cases, liquidation of the company. As bookkeeper it is your job to continuously analyse the business finances to ensure that cash flow is healthy and the business can remain strong.

4. To help plan business strategies

A bookkeeper's analysis of business finances will help to guide the overall business strategy, giving sage advice to business owners. Plans to expand, invest and budget will all be influenced by the existing financial records, and as a bookkeeper you may be asked for recommendations on a regular basis. Business planning simply cannot be done successfully without looking over financial records, so bookkeeping is an important part of business expansion.

5. Reporting to investors

Many businesses rely heavily on investors to help their business grow and become successful, but these investors need to know that their money is in the right place. Thorough bookkeeping ensures that investors can access detailed reports about the company's financial status in order that they can feel confident in their investment. Furthermore, when approaching potential new investors the business will be expected to provide financial data in order to demonstrate that it is in good standing; as such, good bookkeeping can help to secure new investors.

लेखाविधिको अवधारणा -Concept of Accounting

- Identifying, Measuring, Recording and Communicating of financial information.

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- वित्तीय कारोबारहरूको पहिचान गर्ने, मापन गर्ने, अभिलेख राख्ने, वर्गीकरण गर्ने, सारांश निकाल्ने, विश्लेषण गर्ने, व्याख्या र संप्रेषण गर्ने विज्ञान र कला ।
- विशेषताहरू:
 - वित्तीय चरित्र
 - निरन्तर चरित्र
 - विश्लेषण तथा व्याख्या
 - ऐतिहासिक प्रकृति

Objectives of Accounting

- I. To Maintain Systematic Records:
- II. Estimating Profit and Loss:
- III. Prepare Balance Sheet:
- IV. Facilitating Rational Decision Making:
- V. Striking a Balance:
- VI. True Financial Statement:
- VII. Prevention and Detection of Errors:
- VIII. Prevention and Detection of Fraud:

Accounting System

Input

- Financial Transaction
- Document
- Rules and Regulation
- Accounting Principle

Process

- Journal Voucher
- Ledger
- Trail Balance

Output

- Income Statement
- Balance Sheet
- Cash Flow Statement
- Statement of Change in Equity
- Note to Account :Supportive to Final Account (Items of Final Account)

journal entry

- A journal entry is the first step and an essential function of the accounting process.

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- Journal entries, which record economic and non-economic activities,
- its usually recorded in the general ledger or a subledger.
- The general ledger is the foundation of financial reporting because it is used to create company financial statements.
- **Journal format**
 - Date
 - Particulars
 - L.F.
 - Dr. Amount
 - Cr. Amount

Rules of Dr. and Cr.

1. On the Basis of Account

Personal A/c

Debit the Receiver

Credit the Giver

Real A/c

- What comes in Dr.

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► What goes out Cr.

Nominal A/c

► All expenses and losses are Dr.

► All Income and gains are Cr.

2. On the Basis of Assets and Liabilities

Particulars	Dr.	Cr.
Assets	Increase	Decrease
Loss and Expenses	Increase	Decrease
Liabilities	Decrease	Increase
Capital	Decrease	Increase
Gain and Income	Decrease	Increase

Difference Between Book keeping and Accounting (लेखा अभिलेखन र लेखा विधि)

Book Keeping	Accounting
यसमा आर्थिक कारोबारको पहिचान गरी सुव्यवस्थित रूपमा अभिलेख राख्ने कार्य हो ।	सुव्यवस्थित रूपमा अभिलेख राखिएका आर्थिक कारोबारहरूको व्याख्या र विश्लेषण गर्ने कार्य हो ।
यसले आर्थिक कारोबारहरूको सुरुवाति रूपमा पहिचान र वर्गीकरण गर्ने गर्दछ ।	यसले आर्थिक कारोबारहरूको सूचनाहरू संप्रेषण गर्ने गर्दछ ।
यो कार्य गर्नका लागि विशेष ज्ञान, सीप, क्षमता र दक्षताको आवश्यक हुँदैन	यो कार्य गर्नका लागि विशेष ज्ञान, सीप, क्षमता र दक्षताको आवश्यक हुन्छ ।

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यो कार्य कार्यसम्पादनस्तरको सहायक कर्मचारीबाट हुने गर्दछ ।	यो कार्य लेखाका सिद्धान्तको ज्ञान भएको माथिल्लो कर्मचारीबाट सम्पादन हुने गर्दछ ।
यो सुरुवाति कार्य भएकाले लेखाविधि भन्दा अगाडी राखिन्छ ।	यो लेखा अभिलेखन कार्य भई सकेपश्चात राखिन्छ ।
यसले आर्थिक कारोबारको अवस्था देखाउँछ ।	यसले आर्थिक कारोबारको Output देखाउँछ ।

Accounting Concept (MBS CA DGM HA)

Generally Accepted Accounting Principle

- 1. Money Measurement Concept-**मुद्रा मापन
- 2. Business Entity Concept-** व्यवसायिक संस्था
- 3.Single Entry Concept-** एकोहोरो लेखा प्रणाली
- 4.Cash Basic Concept-** नगदमा आधारित
- 5.Accrual Basis Concept-** प्रोदभावि लेखा प्रणाली
- 6.Double Entry System-** दोहोरो लेखा प्रणाली

7.Going Concern Concept- निरन्तरता

8.Matching Concept- मिलान

9.Historical Cost Concept- परम्परागत लागत

10.Account Period Concept- लेखा वर्ष

Single Entry System

- A single entry system is where the transactions of the business affect only one account, i.e. only one account's value will decrease or increase based on the transaction amount.
- Under this system, a cash book is prepared that shows the payment and receipts of the cash transactions.
- Under the single entry system of bookkeeping, the cash book and personal accounts of creditors and debtors are maintained, and no other ledger is maintained.
- Every transaction of the business is recorded in the cash book without applying the principles of the double-entry system of bookkeeping.
- The nominal accounts and real accounts are not recognised under this system

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- Under this system, the records related to taxes paid, account payable, cash, receivables and few other accounts are maintained.
- Usually, small businesses prefer the single-entry bookkeeping system as it is easy to maintain and has minimum requirements.
- व्यवसायमा भएका आर्थिक कारोबारहरूलाई दोहोरो पक्षमा असर नदेखिने गरी अर्थात डेबिट र क्रेडिटको सिद्धान्त प्रयोग नगरी अभिलेख राखिने प्रणाली
- अन्तराष्ट्रिय लेखा प्रणालीको रूपमा मान्न नसकिने
- यसमा नगद र व्यक्तिगत कारोबारको मात्र अभिलेख राखिन्छ
- आम्दानी, खर्च, सम्पत्ति र दायित्वको अभिलेख नराखिने
- अधुरो/अवैज्ञानिक लेखा प्रणाली

Features of Single Entry System

1. Original Vouchers

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The original vouchers play an essential role under this system. They help gather information such as amount, date of transaction, discount (if any), parties, etc.

2. Cash Book

Under the single entry system of bookkeeping, the cash book is maintained for recording the cash receipts and payments of the business during a given period. Only one cash book is maintained in which both the private and business transactions are included.

3. Personal Account

The single entry system maintains the personal accounts of all the creditors and debtors to determine the amount of credit purchases and sales during a given period. The personal accounts are recorded, whereas the real and nominal accounts are ignored under this system.

4. No Fixed Rules

The single entry system of bookkeeping has no fixed set of rules or principles for determining the profit and preparing the different financial statements. Thus, it is easy to maintain. However, there may be variations in its application from one business to another since there are no fixed rules.

5. Estimation of Profit or Loss

The profit or loss of the business is estimated out of the information available at hand. Thus, the exact profits or losses are not ascertained. The profit or loss are estimates. Thus, the financial position as a whole of the business cannot be ascertained.

6. Final Accounts

It is tough to prepare the final accounts in the single entry system of bookkeeping as the real and nominal accounts information are not available. The figures of liabilities and assets are calculated from the information at hand, but they are estimates. Hence, the Statement of Affairs is prepared instead of the Balance Sheet.

एकोहोरो लेखाप्रणालीका फाइदाहरु- Advantages

- सरलता-simple
- कम खर्चिलो- Cost Effectiveness
- लचकदार- Flexibility
- साना व्यवसायका लागि उपयुक्त- Suitable for small Business

Disadvantage of Single entry system

- **low accuracy:** In this system, the accuracy of the account is low as we record only one aspect of the transactions.
- **Calculation Error:** If there is any calculation error so we not have cross-checking option as we have in the double-entry system.
- **Not Able to Prepare Financial statement:** In Single system, we cannot prepare the financial statements *Profit & Loss Account and Balance Sheet*.

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- **Manipulation of Account:**खाताको हेरफेर under this system manipulation of the account is very easy there is no cross-check option.
- **Personal Biasedness:**व्यक्तिगत पूर्वाग्रह Account can be biased but it depends upon who prepares the accounts.
- Not suitable for large organization

दोहोरो लेखाप्रणाली -Double Entry System

- प्रत्येक आर्थिक कारोबारको दोहोरो प्रभाव पर्ने गरी लेखा अभिलेख तयार गर्ने पद्धतिलाई दोहोरो लेखा प्रणाली भनिन्छ ।
- दोहोरो लेखा प्रणालीको आधारभूत मान्यता कारोबारको दोहोरो प्रभाव र सोको समुचित अभिलेख हो ।
- विस्तारित रूपमा भन्दा प्रत्येक कारोबारले पारेका दुई पक्षीय प्रभावलाई नै देखाउने गरी कारोबारको लेखा राखिनु पर्दछ भन्ने मान्यता बोकेको लेखा प्रणाली नै दोहोरो लेखा प्रणाली हो ।
- सन् १४९४ मा इटलीका Luca Pacioli ले Accounting of Venice मा यस प्रणालीको व्याख्या गरेका छन् । त्यसैले उनलाई लेखा प्रणालीका पिता भनिन्छ ।
- दोहोरो लेखा प्रणालीमा कारोबारले परेको एक पक्षीय प्रभावलाई डेबिट गरिन्छ भने अर्को पक्षीय प्रभावलाई क्रेडिट गरिन्छ ।

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- यस प्रकार कुनै पनि अभिलेखमा डेबिट बराबर क्रेडिट हुन्छ ।
- यसप्रकार यस प्रणालीमा भएका त्रुटिहरू पत्ता लगाउने आफ्नै किसिमको विधि पनि विकास भएको छ । त्यसैले यस प्रणालीलाई पूर्ण र भरपर्दो प्रणाली मानिन्छ ।

Features of Double Entry System

- द्विपक्षीय प्रभाव- **Dual effect or two fold effect**- डे. र क्रे. गरेर दुई पक्षीय प्रभाव हुने
- समान प्रभाव- **Equal Effect**- डे. र क्रे. रकम बराबर
- विपरित प्रभाव-**Adverse Effect**- एउटै कारोबारको दुई वटा खातामा अभिलेख राखिने
- अंकगणितीय जाँच-**Arithmetical Check**- यस अन्तर्गत सन्तुलन परिक्षण तयार पारी शुद्धताको जाँच गरिने
- पूर्ण अभिलेख-**complete record**- Personnel, Real र Nominal A/c सँग सम्बन्धित सम्पूर्ण कारोबारहरूको अभिलेख राखिने
- वैज्ञानिक प्रणाली-**Scientific system**- निश्चित सिद्धान्तको प्रयोग/द्विपक्षीय प्रभाव देखाएर अभिलेख

Importance of Double entry system

- कारोबारको पूर्ण अभिलेख-Keeps complete record of each transaction
- व्यवसायको नतिजा पत्ता लगाउने- Ascertains the result of business operations
- वित्तीय स्थिति प्रस्तुत गर्न- present the financial position
- गणितीय शुद्धताको जाँच गर्न-To Check Mathematical accuracy
- तुलना गर्न सहयोग- Facilitates comparison
- गल्ती र अनियमिततालाई कम गर्न- Reduce errors and irregularities
- निर्णय निर्धारण- Decision Making
- लागत नियन्त्रण- Cost control
- विश्वसनीयता- Reliability

Disadvantage of Double entry system

- सबै व्यवसायिक क्रियाकलापहरूको अभिलेख नहुनु,(No records of all business activities)
- सुधारात्मक कार्यमा कठिन-(Difficulties in correction) वित्तीय विवरण लेखा वर्षको अन्त्यमा तयार गरिने भएकाले सुधारात्मक कार्य नहुने

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- खर्चिलो- Expensive
- जटिल- Complicated
- केहि गल्तीहरु व्यक्त गर्न असफल-Failure to Disclose some Errors
सन्तुलन परिक्षणका माध्यमबाट सम्पूर्ण गल्तिहरु व्यक्त गर्न नसकिने
(कोरोबारको अभिलेख राख्न छुटेमा, क्षतिपूरक गल्तीहरु)

Model question answer

What is Double Entry System? Describe its Features. 5+5

Modern and scientific system of recording the financial transactions.

Double Entry System

- If each and every financial activity is recorded by using the rule of debit and credit then such modern, systematic, scientific and fundamental concept of accounting is called double entry system.
- It has a two-fold effect on the accounting process.
- The double entry system is a modern system of bookkeeping based on duality principle propounded by **Luca De Pacioli** on 1494 A.D. from his book “**Summa de Arithmetica**” on “**Accounting of Venice**” chapter.
- Double entry system prevents accounting frauds errors.

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- Double entry book-keeping is a set of rules by which increment in net assets is connected with its corresponding decrement or with the balancing increment and /or decrement in equity.
- In B .S.1993, Biratnagar Jut Mill used the double entry system for the first time in the private sector in Nepal.
- **Double Entry System Equation**

$$\text{Assets} = \text{Equity} + \text{Liabilities}$$

Features of Double Entry System

1. Dual Effect

It provides the very basis for recording business transactions into the records of a business. This concept states that every transaction has a dual or double effect and should therefore be recorded in two places.

2. Equal Effect

The double-entry system has two equal and corresponding sides known as debit and credit. A transaction in double-entry always affects at least two accounts, always includes at least one debit and one credit, and always has total debits and total credits that are equal.

3. Adverse effect:

It has two sides i.e. debit and credit. Most often, the receiving of benefit is entered on the credit side simultaneously.

4.Arithmetical accuracy:

Another feature of double entry Accounting system is to check arithmetical accuracy of recorded financial transactions by preparing 'trial balance'.

5. Complete record:

It presents a complete record of transactions. It records all the aspects of every transaction, which reveals a complete and clear picture of the organization.

6. Scientific record:

This system records transactions which are made systematically, using a set of principles and thus, it can be said a scientific system of recording.

Conclusion

Double-entry system is a very important system as it tells the transaction history that a company has performed in determined month or period of time. Keeping the books up to date is also very important, it will help with the analyze of the results for a certain period of time and next steps for a company's growth.

Bank Cash Book

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- तोकिएको अवधिभित्र प्राप्त भएका नगद र भूक्तानी गरिएका नगद तथा बैङ्क सम्बन्धी कारोबारहरूको मितिक्रम अनुसार व्यहोरा देखिने गरी तयार पारिएको खाता
- नगद पुस्तिका भित्र उधारो कारोबारलाई प्रविष्टि गरिदैन
- यसलाई Sub division of the book of original entry भनिन्छ
- यो नगद कारोबारको सहायक पुस्तिका पनि हो।
- यसले एन्कैप्टक Ledger र Journal Voucher को काम गर्दछ।

Types of Bank Cash Book

१.Simple Bank book

बैंक र चेकद्वारा हुने कारोबारको अभिलेख राखिने

२.Double column cash book

- Cash book with cash and discount column
- Cash book with bank and discount column
- Cash book with cash and bank column

३.Triple column cash book

- Cash/bank/discount

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Bank Cash Book

AGF No. 5

Date	Ref No.	Particulars	Cash Balance		Bank Balance				Budget expenditure		Advance		Miscellaneous			Remarks
			Dr.	Cr.	Dr.	Cr.	Ch No.	Blc	Bh No.	Amt	Given	Cleared	A/c No.	Dr.	Cr.	
		Total														

Double Column - Cash Book

Debit						Credit					
Date	Particulars	V.No.	L.F.	Cash (\$)	Bank (\$)	Date	Particulars	V.No.	L.F.	Cash (\$)	Bank (\$)
1-Jun-19	To Capital A/c			\$100,000	\$100,000	2-Jun-19	By Advertisement A/c				\$500
9-Jun-19	To Sale A/c			\$15,000		4-Jun-19	By Purchase A/c			\$10,000	
15-Jun-19	To Mr. C A/c				\$11,000	4-Jun-19	By Stationery A/c			\$550	
21-Jun-19	To Bank A/c		C	\$15,000		10-Jun-19	By Office expenses A/c			\$200	
						18-Jun-19	By Purchase A/c				\$10,000
						21-Jun-19	By Cash A/c		C		\$15,000
						30-Jun-19	By Rent A/c				\$7,500
						30-Jun-19	By Salary A/c			\$17,000	
						30-Jun-19	By Bal. c/d			\$102,250	\$78,000
				\$130,000	\$111,000					\$130,000	\$111,000
1-Jul-19	By Bal. b/d			\$102,250	\$78,000						

Importance of bank cash book **(Government)**

Bank cash book is one of the most importance books of government accounting to be prepared by operating level officer of government of Nepal. It is importance for government office under operating level due ti following points.

- **It shows the amount of expenditure, cash balance, bank balance and advance given and cleared at any time after each transaction.**
- **It is required to prepare trial balance which helps to check the arithmetical accuracy of finance transaction of government of Nepal.**
- **It helps to check the misuse, misappropriation and embezzlement of cash.**
- **It is necessary to safeguard and control cash in a proper way.**
- **It makes possible for cross checking with the balance as shown by the bank statement.**
- **It reduces the changes of tried and misuse.**

Trial Balance -सन्तुलन परीक्षण

- आर्थिक कारोबारका प्रारम्भिक अभिलेख गोश्वारा भौचरको रकम सम्बन्धित खातामा पोस्टिङ गरेपछि सम्पूर्ण अभिलेखको गणितीय शुद्धता जाँच गरी सुधार गर्ने उद्देश्य रहेको,
- सबै खाताको डेबिट र क्रेडिटका रकम समावेश गरेर तयार पारिने विवरणलाई सन्तुलन परीक्षण भनिन्छ,

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- यसको डेबिट पक्ष र क्रेडिट पक्ष दुवैको कुल रकम बराबर भएमा कुनै गल्ती नभएको मानिन्छ,
- दोहोरो लेखा प्रणालीको सिद्धान्त अवलम्बन गरेर तयार पारिने यो विवरण बनाउन कानुनी अनिवार्यता नभए पनि यसले अन्तिम खाता तयारीका लागि आधार प्रदान गर्छ ।
- A trial balance is a report that lists the balances of all [general ledger](#) accounts of a company at a certain point in time.
- The accounts reflected on a trial balance are related to all major [accounting](#) items, including [assets](#), liabilities, equity, revenues, [expenses](#), gains, and losses.
- It is primarily used to identify the balance of debits and credits entries from the transactions recorded in the general ledger at a certain point in time.
- **Methods of Trial Balance**
 - Total Method: In this method, ledger accounts are not balanced. They are totaled. ...
 - Balance Method: Under this method, the closing balances of ledger accounts are tabulated in a separate statement. The brought down balances are brought to this statement.
 - Mixed Method : Mixed method is a combination of net balance method and total balance method.

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Total Method

Trial Balance as on [closing date]

Particulars [Name of the Accounts]	L.F	Dr. Total of A/c Amount [Rs.]	Cr. Total of A/c Amount [Rs.]

Balance Method

Trial Balance as on [closing date]

Particulars [Name of the Accounts]	L.F.	Debit balance Amount [Rs.]	Credit balance Amount [Rs.]

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Mixed Method

For the above example, trial balance will be prepared under total and balance method as follows:

S.No.	Particulars	L.F.	Debit total ₹	Credit total ₹	Debit balance ₹	Credit balance ₹
1	Cash A/c		5,56,800	23,000	5,33,800	-
2	Rathnakumar's capital A/c		-	5,00,000	-	5,00,000
3	Furniture A/c		6,000	-	6,000	-
4	Purchases A/c		35,000	-	35,000	-
5	Jeyanthi A/c		2,500	25,000	-	22,500
6	Purchases returns A/c		-	2,500	-	2,500
7	Sales A/c		-	1,04,000	-	1,04,000
8	Elizabeth A/c		72,000	22,000	50,000	-
9	Salaries A/c		7,000	2,800	7,000	-
10	Commission A/c		-	-	-	2,800
	Total		6,79,300	6,79,300	6,31,800	6,31,800

Note: Students will be tested on balance method only

Features/Importance of Trial Balance

- It is a summary of debit and credit balances which are extracted from various ledger accounts
- The motive behind the preparation of Trial balance is to establish arithmetical accuracy of the transactions recorded in the Books of Accounts
- Trial balance does not prove any arithmetical accuracy of accounts which can only be determined by the audit
- It is not an account. It is only a statement of account
- It is not a part of the final statements

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- A Trial balance at the end of the accounting year but it can also be prepared anytime as and when required like weekly, monthly, quarterly or half-yearly
- It acts as a bridge between books of accounts and the [Profit and Loss Account](#) and [Balance sheet](#)

Detectable errors in a trial balance

सन्तुलन परीक्षणबाट पत्ता लाग्ने गल्तीहरू

१. Single Entry- एकोहोरो प्रविष्टि

Only one side of a double entry has been made then this means that the trial balance will not balance.

२. Casting Error- कूल जम्मा रकममा हुने गल्ती

Where a list of items has been incorrectly totaled up or a ledger balance has been balanced off incorrectly.

३. Transposition Error- रकम स्थानान्तरणबाट हुने गल्ती

If an amount in a ledger account or a balance on a ledger account has been transposed incorrectly then recorded in the trial balance.

४. Extraction Error- रकम निकासिमा हुने गल्ती

If a ledger account balance is incorrectly recorded on the trial balance either by recording the wrong figure or putting the balance on the wrong side of the trial balance.

५. Two entries on one side- एक पक्षमा भएको दोहोरो प्रविष्टि

Instead of a debit and a credit if a transaction is entered as a debit in two accounts or as a credit in two accounts then the trial balance will not balance.

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सन्तुलन परीक्षणबाट पत्ता नलाग्ने गल्तीहरू- Not Detectable

Errors in Trial Balance

- **Error of omission:** छुट्ने गल्ती- कारोबारको रकम भन्दा कम रकमको लेखा राख्नु, जर्नलबाट लेजरमा प्रविष्टि गर्दा कारोबार छुटाउनु, लेजरबाट सन्तुलन परीक्षणमा रकम चढाउन छुटाउनु।
- **Error of original entry:** लेखन सम्बन्धी गल्ती - जर्नलमा कारोबार Entry गर्न छुटाउनु।
- **Principle error:** शैद्धान्तिक गल्ती- लेखाका सर्वमान्य सिद्धान्तहरूको प्रयोग नगर्नु, Dr/Cr का नियमहरूको प्रयोग नगरी कारोबारको अभिलेख राख्नु।
- **Commission error:** क्षतिपुरक गल्ती- एउटा गल्तीले अर्को गल्तीलाई ढाकछोप गर्नु।

सन्तुलन परीक्षण तयार गर्दा ध्यान दिनुपर्ने कुराहरू

- कारोबारहरूको प्रकृति-**Nature of Transactions**
- कारोबारहरूको दुई पक्ष एवं कारोबारहरूको शिर्षक- **Two side of Transactions and Title of Transactions**
- प्रारम्भिक अभिलेख, खाता एवं सहायक खाताहरूमा प्रविष्ट एवं जोड जम्मा- **Posting in Journal, Ledger and sub ledgers**
- लेखाका शिद्धान्तहरू- **Accounting Principles**

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- डे. र क्रे. का नियमहरू- **Rules of Debit and Credit**
- लेखा सम्बन्धि प्रचलित मूल्य, मान्यता र अभ्यास- **accounting practices**
- विभिन्न लेखामान, लेखाढाँचा र प्रस्तुति विधि- **Accounting Standard, accounting Formats and presentation Method**
- एकपक्षिय एवं दुई पक्षिय गल्तीहरू- **One side and Two Side Errors**
- लेखा समिकरण- **Accounting Equation**
- कारोबारहरूको आकार र परिमाण- **Size and Quantity of Transactions**
- कारोबार गर्दा अवलम्बन गर्नुपर्ने पूर्व सावधानि- **Precautions in Transactions**

सन्तुलन परीक्षणबाट गल्ती पत्ता लगाउन चालिने कदमहरू- Steps to Locate Errors from Trial Balance

- कारोबारको निरीक्षण गर्ने,- **Inspections of Transaction**
- खाताहरूको जोडजम्मा गर्ने,- **Arithmetical Check**
- एक पक्षिय वा द्विपक्षिय गल्ती एकिन गर्ने,- **Confirmation of One side and Two Side Error**

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- गलतिको फरक रकम एकिन गर्ने,- **Confirm the difference amount of Errors**
- फरक रकम सानो (1000 सम्म) भएमा २ ले भाग गरी फरक पत्ता लगाउन कोसिस गर्ने,- **If Difference amount is small (<1000) then, Difference amount/2**
- फरक रकम ठूलो भएमा ३, ९, २७ जस्तो अंकले भाग गरी रकम पहिचान गर्न प्रयास गर्ने,- **If Difference amount is small then, Difference amount/3 or 9 or 27**
- सन्तुलन परीक्षणले देखाउने वा नदेखाउने गल्ती एकिन गर्ने,-
- सन्तुलन परीक्षणले देखाउने गल्ती भएमा Suspense Account को व्यवस्था गर्ने,
- नदेखाउने गल्ती भएमा Contra Entry को प्रयोग गरी गल्ती स्यूधार गर्ने,

Profit and Loss Account

- It shows the net result of the business operations during an accounting period.
- It presents the summary of revenues, expenses and net profit and net loss of a firm.

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- A profit and loss account is prepared to determine the net income (performance result) of an enterprise for the year/period.
- This is the most significant information to be reported for decision making.
- Net income or net profit is calculated by charging all operating expenses and by considering other incomes earned in the form of commission, interest, rent, discounts, and fees.
- व्यवसाय सञ्चालनबाट सिर्जना हुने खुद नाफा र नोक्सानको स्थिति पत्ता लगाउन तयार गरिने खाता
- Trading account पश्चात तयार गरिने- Prepare after preparing Trading Account
- यस खाताको डे. पक्ष बढी भएमा घाटा र क्रे.पक्ष बढी भएमा नाफा हुन्छ ।
- यस खाताबाट निस्किएको खुद नाफा र नोक्सानलाई वासलातमा लगेर पूँजीमा जोड्न वा घटाउन सकिन्छ ।
- आय र व्ययको समष्टिगत अवस्था

Main Components of Profit and Loss Account

- revenue (sales/turnover)
- cost of goods sold (COGS)
- gross profit (revenue minus COGS)

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► Expenses.

► net profit (gross profit – expenses+ other incomes)

नाफा नोक्सान खाताको आवश्यकता/महत्व/उद्देश्य

(Importance of Profit & Loss Account)

- खुद नाफा र नोक्सानीको निर्धारण- **Determination of Net profit/loss**
- अप्रत्यक्ष खर्च र आम्दानीको जानकारी- **Information about Indirect Expenses and Income**
- समग्र कार्यसम्पादन स्तरको मूल्याङ्कन गर्न सहज- **Evaluation of Work Performance Level**
- खर्चहरूमाथि नियन्त्रण गर्न सकिने- **Control in Expenses**
- अनुपात निर्धारण गर्न उपयोगि- **Useful in Determination of Ratios**
- बासलातको तयारीमा सहज- **Easy to prepare Balance Sheet**

व्यापार खाताको आवश्यकता/महत्व/उद्देश्य

(Importance of Trading Account)

- कूल नाफा र नोक्सान निर्धारण- **Determination of Gross Profit/Loss**
- प्रत्यक्ष खर्चहरू सम्बन्धी जानकारी- **provide Information about Direct Expenses**
- कार्य सम्पादन स्तरबारे जानकारी- **Provide Information about Work performance Level**

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- खर्चहरु माथि समुचित नियन्त्रण- **cost Control**
- अनुपात निर्धारण गर्न उपयोगि- **Useful in Determination of Ratios**

Example

From the following trial balance of John and Co., prepare the trading and profit and loss accounts for the year ended 31st December 2019.

The closing stock was valued at \$32,000.

	\$		\$
Opening Stock	20,000	Sales	56,000
Sales Returns	1,000	Creditors	20,000
Purchases	31,000	Capital	100,000
Carriage Inward	20,000	Purchases Return	1,000
Salaries	4,000	Loan	21,000
Investment	20,000	Interest on Investment	2,000
Commission	500		
Wages	2,000		
Customs Duty	4,000		
Building	80,000		
Insurance	1,200		
Discount	300		
Furniture	4,000		
Sundry Debtors	20,000		
Cash	8,000		
	200,000		200,000

Solution

John and Co. Trading and Profit and Loss Account For the Year Ended 31st Dec. 2019

	\$		\$
Opening Stock	20,000	Sales	56,000
Purchases	31,000	Less: Sales Return	1,000
Less: Purchases Return	1,000	Closing Stock	32,000
Carriage Inward	4,000		
Wages	2,000		
Customs Duty	4,000		
Gross Profit (Transfer to P&L A/c)	27,000		
	87,000		87,000
Salaries	4,000	Gross Profit b/d	27,000
Insurance	1,200	Interest on Investment	2,000
Commission	500		
Discount	300		
Net Profit (Transferred to Capital A/c)	23,000		
	29,000		29,000

Difference Between Gross profit and Net Profit

COMPARISON CHART

BASIS	GROSS PROFIT	NET PROFIT
Definition	The leftover profit after deducting all the direct expenses from the manufacturing process.	The residual income that an organization is left with after paying off all its expenses for a financial period.
Objective	To estimate a company's profitability.	To determine the company's performance.
Advantage	Controls excess costs.	Shows a company's performance in a year.
Reliability	It is difficult to make financial decisions using gross profit as it does not include expenses, taxes and interest on loans.	This is a true profit that a company can use to make business decisions for its development.
Credit balance	It shows the credit balance of the trading account.	It shows the credit balance of the profit and loss account.
Formula	Gross profit = Revenue - Cost of goods sold	Net profit = Gross profit - Expenses

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Conclusion

The assurance of gross profit margin and net profit margin is useful for following out the level of or the percentage of benefit procured by the business entities at different levels. At the gross profit margin, just the expenses and direct costs are factored out from sales for arriving at the gross benefit. Based on which GP margin is determined.

At the net profit margin level, the working and non-working costs are factored out while non-working income is added to gross profit to emerge at net profit. Along these lines, the net profit margin is determined.

Balance Sheet-वासलात

- It is not an account but it is a statement of assets and liabilities of a business enterprise at a given date.
- It is prepared at the end of accounting period and after completing the preparation of trading and p/L account.
- A balance sheet is a financial statement that reports a company's assets, liabilities, and shareholder equity.
- The balance sheet is one of the three core financial statements that are used to evaluate a business.
- It provides a snapshot of a company's finances (what it owns and owes) as of the date of publication.
- The balance sheet adheres to an equation that equates assets with the sum of liabilities and shareholder's equity.

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- Fundamental analysts use balance sheets to calculate financial ratios.
- कुनै व्यवसायको यथार्थ आर्थिक स्थिति तथा सम्पत्ति र दायित्वको अवस्था देखाउने
- यसले आर्थिक स्थिति देखाउने भएकाले यसलाई Statement of financial position पनि भनिन्छ ।
- यो प्राय आर्थिक वर्षको अन्तमा तयार गरिन्छ ।
- यसको दाहिने पक्षमा सम्पत्ती र बायाँ पक्षमा दायित्व एवं पुँजी देखाइने
- यो अंग्रेजी अक्षर T र Vertical गरी २ आकारमा तयार गरिन्छ ।

Objectives Of Balance Sheet- वासलातका उद्देश्यहरू

1. To Reveal The Financial Position- वित्तीय अवस्था प्रकट गर्नु

The main purpose of preparing balance sheet is to know the short term and long term financial position of the firm.

2. To Show The Picture Of Assets And Liabilities- सम्पत्ति र दायित्वको चित्र देखाउनु

Balance is prepared to know the value of assets and liabilities of the company at the end of the year.

3. Information About Debtors And Creditors- Debtors र Creditors को जानकारी दिनु

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Balance sheet provides true picture of trade debtors and creditors for the specific period.

4. To Reveal Liquidity Position- तरलताको अवस्था प्रकट गर्नु

Balance sheet shows the liquidity position of the firm.

5. To Show Solvency Position-

Balance sheet helps to know the solvency position of the business.

6. To Calculate Ratios- अनुपात गणना गर्नु

Accounting ratios are calculated on the basis of data provided by balance sheet. It helps the management to know the strength and weakness of the business.

7. To Provide Financial Information- वित्तीय जानकारी उपलब्ध गराउनु

Balance sheet provides true and reliable financial information to the management, government, shareholders, lenders etc.

Advantages of Balance Sheet

► Keeping Things in Balance:

The balance sheet condition shows that an organization's resources equivalent to its liabilities in addition to its investors' value. Since this condition should consistently hold, any deviation from it demonstrates a disappointment of the organization's bookkeeping frameworks.

► Figuring and Analyzing Ratios:

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One of the advantages of a balance sheet is that supervisors, speculators, moneylenders, and controllers take the proportion of an organization by figuring monetary proportions utilizing data from the balance sheet, frequently related to different reports, for example, the pay proclamation.

► **Acquiring Credit and Capital:** ऋण र पुँजी प्राप्त गर्नु

The significance of a balance sheet is likewise apparent should a business need to acquire credit extensions or advances.

► **Business Preview or Snapshot:** व्यवसाय पुर्वावलोकन गर्नु

The Balance Sheet otherwise calls for the announcement of the budgetary position.

► **Assurance of Risk and Return:** जोखिम र प्रतिफलको जानकारी दिनु

The balance Sheet compartmentalizes itself into different parts among which short and long-haul resources and liabilities are significant ones.

► **Making sure about extra capital:** थप पुँजी निर्माण गर्न सहयोगी

Moneylenders require a Balance Sheet to decide the monetary wellbeing and reliability of the business.

नेपाल राष्ट्र बैंक- सहायक द्वितीय पदको पाठ्यक्रममा आधारित

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वासलातका सिमाहरु -Limitation Of Balance Sheet

- ऐतिहासिक मूल्यमा अभिलेख हुने, बजार मूल्यमा अभिलेख नराख्ने
- ऐतिहासिक कारोबारको आधारमा तयार गरिने
- भविष्यका बारेमा जानकारी नदिने

Chart of Difference between the Trading and Profit & Loss account

Basis	Trading Account	Profit and Loss Account
Meaning	Trading account is prepared to find out the gross profit of the business for the particular accounting period	Profit and loss account or Income statement is prepared to find out the Net Profit/loss of the business for the particular accounting period.
Timing	Trading Account is prepared before the P&L account	Profit/Loss Account is prepared after the Trading account
Purpose	To get know Gross profit or loss of the business.	To get know Net profit or loss of the business
Stage	It is the first stage of the final account.	it is the second stage of the final account.
Dependency	it is a first statement or final account so it is not dependent on Trial balance.	It is dependent on Trading account.
Accounts	In the trading account, the ledger accounts related to the Direct Expenses and Direct incomes are posted.	In the Profit and Loss account, the ledger accounts related to the Indirect Expenses and Indirect incomes are posted.
Transfer of Balance	The balance (either Gross profit or Gross Loss) of Trading account will be transferred to Profit and loss account.	The balance (either Net profit or Net Loss) of Profit and loss account will be transferred to Balance Sheet.
Treatment in the balance sheet	Trading account is not treated directly in the balance sheet. The Balance of Trading account is transferred to Profit and loss account only. than combine effect of both accounts are posted in the balance sheet either by Net profit or by the Net loss.	Profit and loss account is treated directly in the balance sheet by adding or subtracting from the capital. Tutor'sTips.com

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Chart of Difference between the Profit and Loss account and Balance Sheet

Basis of Difference	Profit and loss account	Balance Sheet
Meaning	Profit and loss account is the statement which shows the all indirect expenses incurred and indirect revenue earned during the particular period.	The Balance sheet is the statement showing the assets and Liabilities/capital of the business at the end particular accounting period.
Object	It is prepared to know the Net profit or Loss of the business for a particular period.	It is prepared to show the true or fair financial position of an entity.
Accounts Included	It includes only one type of accounts. i.e. Nominal account.	It includes only two type of accounts. i.e. Real and Personal accounts
Gross Profit/ Loss	Profit and loss account does provide information about Gross Profit/loss for the year.	Balance Sheet does not provide information about Gross Profit/loss for the year.
Dependency	The Profit and Loss account is not dependent on the Balance sheet Because it is prepared before the preparation of Balance sheet.	The balance sheet is dependent on the Profit and loss account because Information about Net Profit/Loss collected from Profit and Loss account.
Balance	It has the Balance amount, which represents the net profit/loss for the year. Debit balance means net Loss if Credit balance it means Net Profit.	Both side of the balance sheet always equal to each other. So, it does not has a balance amount.
Classification of Accounts	In Profit and Loss account, only nominal accounts are classified into the balance of Incomes/gains and Expenses/loss.	In Balance Sheet, personal and real accounts are classified into the balance of assets, liabilities and capital.
Time of Preparation	It is prepared after preparing a Trading account and before the preparation of the Balance sheet.	It is prepared after preparing Trading and Profit&Loss account.
Sides of Statement	Profit and loss account has two sides, on the left side, all expenses and losses are posted and on the right side, all incomes and gains are posted.	The Balance Sheet also has two sides(In horizontal form), on the left side, all Liabilities and Capital are posted and on the right side, all accounts of assets are posted.
Information about Stock or inventories	In the Profit and Loss account, No Information is provided for opening or closing stock.	In the Balance Sheet, Information is provided only for cLosing stock.

Difference between Trial Balance & Balance Sheet

Basis	Trial balance	Balance sheet
2. Purpose	Trial balance is prepared to check the arithmetical accuracy of the accounting entries made.	Balance sheet is prepared to ascertain the financial position of a business.
3. Contents	It is a summary of balances of all accounts – personal, real and nominal accounts.	It is a statement showing the closing balances of only personal and real accounts.
4. Format	The trial balance contains columns for debit balances and credit balances.	The items are grouped as assets and liabilities.
5. Stage	It is prepared before the preparation of final accounts.	It is prepared after preparing trial balance and trading and profit and loss account.
6. Period	It can be prepared periodically, say at the end of the month, quarterly, half yearly, etc.	It is generally prepared at the end of the accounting period.
7. Order	Balances shown in the trial balance need not be in order.	Balances shown in the balance sheet must be in order.
8. Compulsion	Preparation of trial balance is not compulsory.	Preparation of the balance sheet is compulsory in certain cases.

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Off-balance sheet (OBS)

- Off-balance sheet (OBS) items are an accounting practice whereby a company does not include a liability on its balance sheet.
- While not recorded on the balance sheet itself, these items are nevertheless assets and liabilities of the company.
- Off-balance sheet items can be used to keep debt-to-equity (D/E) and leverage ratios low, facilitating cheaper borrowing and preventing bond covenants from being breached.
- The practice of off-balance sheet financing has come under increasing scrutiny after a number of accounting scandals revealed the mis-use of the practice.

Types of Off-Balance Sheet Items- वासलात बाहिरको

कारोबारहरु

There are several ways to structure off-balance sheet items. The following is a short list of some of the most common:

1. Operating Lease

An OBS [operating lease](#) is one in which the lessor retains the leased asset on its balance sheet. The company leasing the asset only accounts for the monthly rental payments and other fees associated with the rental rather than listing the asset and corresponding liability on its own balance sheet. At the end of the lease term, the lessee generally has the opportunity to purchase the asset at a drastically reduced price.

2. Leaseback Agreements

Under a [leaseback agreement](#), a company can sell an asset, such as a piece of property, to another entity. They may then lease that same property back from the new owner.

Like an operating lease, the company only lists the rental expenses on its balance sheet, while the asset itself is listed on the balance sheet of the owning business.

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3. Accounts Receivables

Accounts receivable (AR) represents a considerable liability for many companies. This asset category is reserved for funds that have not yet been received from customers, so the possibility of default is high. Instead of listing this risk-laden asset on its own balance sheet, companies can essentially sell this asset to another company, called a factor, which then acquires the risk associated with the asset. The factor pays the company a percentage of the total value of all AR upfront and takes care of collection. Once customers have paid up, the factor pays the company the balance due minus a fee for services rendered. In this way, a business can collect what is owed while outsourcing the risk of default.

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On-Balance Sheet Items वासलात भित्रका विषयवस्तु

All those items that appear either on Assets or Liabilities side of the Balance sheet are referred to as On-Balance sheet items. In other words, Balance sheet items are the assets or liabilities created out of the routine/non-routine transactions and are displayed while preparing the Balance sheet.

कुनै पनि संस्थाको कारोबारबाट सृजना भएका सम्पति वा दायित्व जसलाई वासलात निर्माण गर्दा संलग्न गरिन्छ, ती सबै विषयवस्तु वासलात भित्रका विषयवस्तु हुन्छन् । ती सबै विषयवस्तु, सम्पति वा दायित्व जुन वासलातमा देखिन्छन्, तीनलाई नै वासलात भित्रका विषयवस्तु भनिन्छ ।

Off-Balance Sheet Items वासलात बाहिरका

विषयवस्तु

Off balance sheet refers to those assets and liabilities not appearing on an entity's balance sheet, but which nonetheless effectively belong to the enterprise. An off-balance sheet (OBS) item is a term for assets or liabilities that do not appear on a company's balance sheet. Off-Balance sheet item means LC, Bank Guarantee, commitment, swap, option etc having possibility of bearing liabilities bearing by a bank or financial institution.

वासलात बाहिरको विषयवस्तु भन्नाले बैंक वा वित्तीय संस्थाले दायित्व व्यहोर्नु पर्ने सम्भावना भएको प्रतीतपत्र, जमानतपत्र, स्वीकारपत्र, प्रतिबद्धता, स्वाप आदि सम्झनु पर्छ । कुनै पनि संस्थाका ती सबै सम्पति वा दायित्व जसलाई वासलातमा समावेश गरिएको हुदैन तर संस्थाको कारोबारको अंग हुन्छन्

भने त्यस्ता विषयवस्तुलाई वासलात बाहिरका विषयवस्तु भनिन्छ । साधारणतया ती वस्तुहरु जोखिम हस्तान्तरणसंग सम्बन्धित हुने बुझिन्छ ।

Major Off-Balance Sheet Items मुख्य वासलात बाहिरका विषयवस्तु

१. Revocable Commitments खण्डन योग्य प्रतिबद्धता
२. Bills under collection संकलनमा रहेका बिल्स
३. Forward Exchange Contract Liability फर्वार्ड विनिमय सम्झौता दायित्व
४. LC Commitments प्रतीतपत्र प्रतिबद्धता
५. Guarantee (Bid, Performance, Counter) जमानत पत्र (बिड, कार्यसम्पादन, काउन्टर)
६. Underwriting Commitments
७. Lending of Bank's Securities धितोमा राखिएको बैंकको सम्पति
८. Repurchase Agreements पुनःखरिद सम्झौता
९. Advance Payment Guarantee अग्रिम भुक्तानी जमानत
१०. Financial Guarantee वित्तीय जमानत
११. Acceptance & Endorsement
१२. Unpaid portion of Partial paid shares/securities आंशिक भुक्तानी भएका धितोपत्रको बाकी रकम
१३. Irrevocable Credit Commitments अखण्डनीय सापटी प्रतिबद्धता
१४. Other Contingent Liabilities अन्य आकस्मिक दायित्व

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Difference between On-Balance sheet & Off-Balance Sheet Items

On-Balance Sheet Items	Off-Balance Sheet Items
Appears on Balance Sheet (वासलातमा संलग्न)	Doesn't appear on Balance Sheet (वासलातमा संलग्न नरहने)
Related to Present & Future (वर्तमान र भविष्यसंग सम्बन्धित)	Related to Future (भविष्यसंग सम्बन्धित)
Affects the Cash flow directly (नगद प्रवाहमाथि प्रत्यक्ष प्रभाव)	Doesn't affect the Cash flow at the moment (वर्तमानमा नगद प्रवाहमाथि प्रभाव नगर्ने)
Existence due to Past transactions (विगतको कारोवारले अस्तित्व कायम)	Existence depends upon Future transactions (भविष्यको कारोवारले अस्तित्व रहने)
Displays the financial performance (वित्तीय सफलताको चित्रण)	Doesn't display the financial performance (वित्तीय सफलताको चित्रण गर्न नसक्ने)

DIFFERENCE BETWEEN INCOME STATEMENT AND BALANCE SHEET

Point of difference	Income Statement	Balance Sheet
Objective	The objective is to present the summary of expenses and incomes for the accounting period concerned.	The objective of balance sheet is to present financial position at the end of accounting period usually on 31 st March.
Balancing figure	The balancing figure tells the result of business operation (Profit/Loss).	It always remains balanced i.e. there is no balancing figure.
Coverage	It includes only nominal accounts.	It includes Personal A/c, Real A/c and those Nominal accounts, which are capital in nature and need to be written off over a period of time.
Nature	It is dynamic in nature as it lists the expenses and incomes for the year concerned.	It is static in nature as it lists assets and liabilities at a given point of time usually at the end of year concerned.

Relationship between balance sheets and profit and loss accounts

- The **profit and loss (P&L) account** summarises a business' **trading transactions** - income, sales and expenditure - and the resulting profit or loss for a given period.
- The **balance sheet**, by comparison, provides a **financial snapshot** at a given moment. It doesn't show day-to-day transactions or the current profitability of the business. However, many of its figures relate to - or are affected by - the state of play with profit and loss transactions on a given date.
- Any profits not paid out as dividends are shown in the **retained profit** column on the balance sheet.
- The amount shown as cash or at the bank under current assets on the balance sheet will be determined in part by the **income** and **expenses** recorded in the P&L. For example, if sales income exceeds spending in the period preceding publication of the accounts, all other things being equal, current assets will be higher than if expenses had outstripped income over the same period.
- If the business takes out a **short-term loan**, this will be shown in the balance sheet under current liabilities, but the loan itself won't appear in the P&L. However, the P&L will include **interest payments** on that loan in its expenditure column - and these figures will affect the net profitability figure or 'bottom line'.

Question) Auditing begins when accounting ends.

Explain. (५)

Answer-

- The process of checking financial transactions, related documents, ledger, financial statement, and document by employees of the organization internally and by CA, RA externally for finding the truth and fair condition, evaluate documents, prepare report along with personal opinion and submit to concern authority is known as auditing.
- Due to the following reasons, it is said that auditing begins when accounting ends.
 - There should be a financial transaction in the organization which is used while conducting auditing.
 - All the financial transaction should be recorded in the journal voucher which is required while conducting auditing.
 - The individual journal voucher transaction should be posted in the ledger which is needed while conducting auditing.
 - There should be required documents or the financial statement ready while conducting auditing.

So, because of these reasons, it is said that auditing begins when accounting ends.

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Financial Statement of Commercial Banks and its major Heading's

(बाणिज्य बैंकहरूको वित्तीय विवरण एवं यसका प्रमुख शिर्षकहरू)

वित्तीय विवरण -Financial Statement

- व्यवसायिक संस्थाको निश्चित समयावधिको वास्तविक वित्तीय अवस्था, वित्तीय सबलता तथा कमजोरीको बारेमा जानकारी दिने विवरण,
- आर्थिक स्थिति र वित्तीय कारोबारको सुव्यवस्थित तरिकाले प्रस्तुत गर्ने विवरण
- निश्चित समयावधिको अन्त्यमा तयार गरिने,
- कम्पनीका कार्यहरू र कार्यसम्पादनको नतिजा थाहा पाउन तयार गरिने,
- संस्थाको वास्तविक आर्थिक अवस्था देखाउने ऐना,
- कानूनी र औपचारिक विवरण
- Financial statements are written records that convey the business activities and the financial performance of a company.
- Financial statements are often audited by government agencies, accountants, firms, etc. to ensure accuracy and for tax, financing, or investing purposes
- Financial statements are written records that convey the business activities and the financial performance of a company.
- The balance sheet provides an overview of assets, liabilities, and stockholders' equity as a snapshot in time.

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- The income statement primarily focuses on a company's revenues and expenses during a particular period. Once expenses are subtracted from revenues, the statement produces a company's profit figure called net income.
- The cash flow statement (CFS) measures how well a company generates cash to pay its debt obligations, fund its operating expenses, and fund investments.

Features of Financial Statement- वित्तीय विवरणका विशेषताहरू

1. Prepared at the end of the accounting period.
2. Disclose both facts and opinions.
3. Prepared on the going concern value.
4. Recorded facts of financial transactions based on historical cost.
5. Greatly affected by personal judgment of the accountants.
6. Summary of Income and Expenditure.

Objectives of preparing financial statements

1. To show the position of asset or liabilities
2. To provide various information to various stakeholders
3. To present true and fair view of the business
4. To forecast earning capacity of the business
5. To assess credit worthiness of the business
6. To decide about future of the business

Qualities of an Ideal Financial Statement- AC CAR SUP QR

1. Accuracy- शुद्धता

In the financial statements, the information given should be the current state of the institution and the real or true knowledge of the future.

2. Comparability- तुलनायोग्य

Financial statements should be of comparative study. Statistics of financial statements should be presented in such a way that they can be studied comparatively with their previous years.

3.Completeness-पूर्णता

The information given in the **financial statements** should be complete. Financial details with incomplete information fail to meet their objectives.

4. Analytical- विश्लेषणात्मक

Financial statements should be analytical, financial statements should not be the only one to reveal the facts, but also the reasons for it.

5.Reliability-विश्वसनीयता

Qualities of financial statements that make them reliable. The information given in the financial statements should be Reliability.

6. Simplicity-सरलता

It is necessary to have simplicity in financial statements. Simplicity means that all the data included in the financial statements can be obtained in simple language and **simplified account books**.

7. Understandability- बुझ्नयोग्य

The main purpose of financial statements is to provide necessary information about the company's resources and performance.

8. Promptness- शिघ्रता

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Financial details should be available immediately at the end of the financial period. On a very delayed basis, financial statements become aimless and useless.

9. Qualities- गुणस्तरियता

The given essential qualities of the financial statement are necessary for any financial statements.

10. Relevance- सान्दर्भिकता

In the financial statements, the information that reveals the purpose of the institution should be presented. The company's activities should be coordinated with the objectives and principles of the company.

Limitation Financial Statement

- **Historical Costs-** परम्परागत लागत
- **Inflation Adjustments-** मुद्रास्फिति समायोजन
- **Personal Judgments-**

The value of assets and liabilities depends on the accounting standard used by the person or group of persons preparing them.

- **Specific Time Period Reporting-** प्रतिवेदनको निश्चित समयावधि
- **Intangible Assets-** अदृश्य सम्पत्तिहरु: brand value, reputation

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- **Comparability-** तुलनायोग्य :Due to various factors like the accounting practices used, valuation, personal judgments made by the different people in different Companies, comparability can be a difficult task.
- **No Discussion on Non-Financial Issues**
- **Future Prediction**

Major Headings of Financial Statement-एकिकृत निर्देशिकाबाट **Heading हरु हेर्ने र सो बमोजिम शिर्षकहरू राख्ने**

१. **Consolidated Statement of Financial Position-** वित्तीय अवस्थाको एकिकृत विवरण
२. **Consolidated Statement of Profit & Loss –** नाफा नोक्सानको एकिकृत विवरण
३. **Consolidated Statement of Other Comprehensive Statement-** अन्य विस्तृत आम्दानीको एकिकृत विवरण (p/l appropriation account)
४. **Consolidated statement of Cash Flow-** नगद प्रवाहको एकिकृत विवरण
५. **Statement of Changes in Equity –** इक्यूटीमा परिवर्तनको विवरण

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यी विभिन्न विवरणहरूका साथै लेखा सम्बन्धी नीति, लेखा सम्बन्धी महत्वपूर्ण टिपोट तथा टिप्पणीहरू (Notes to Account) का साथै वित्तीय विवरणहरूका शिर्षकहरूको थप व्याख्या विश्लेषण गर्ने प्रयोजनले तयार गरिने विश्लेषणात्मक विवरण/ अनुसूचीहरूलाई समेत वित्तीय विवरणको रूपमा चिनिन्छ।

सम्भावित प्रश्नहरू

1. Balance sheet and Profit and loss account are interdependent. Explain with example.(वासलात र नाफानोक्सान हिसाब खाता अन्तरनिर्भर हुन्छन्। उदाहरणसहित व्याख्या गर्नुहोस्।)
2. What is Bank Cash Book? What are the methods of recording transaction in Bank Cash Book? Describe.
3. Trail Balance बाट पत्ता नलाग्ने गल्तीहरू के के हुन्? उदाहरणसहित व्याख्या गर्नुहोस्।
4. Trail Balance कहिले तयार पारिन्छ, Trail Balance द्वारा गल्ती पत्ता लगाउन चालिने कदमहरूको बारेमा उल्लेख गर्नुहोस्।
5. सन्तुलन परीक्षणको उद्देश्य तथा महत्वको बारेमा उल्लेख गर्नुहोस्।
6. What is the difference between Book Keeping and Accounting System.
7. Describe the Development of Accounting System.
8. Dr र Cr का नियमहरू लेख्नुहोस्।

Financial Ratios (वित्तीय अनुपातहरू)

Introduction

- Ratio analysis is a quantitative procedure of obtaining a look into a firm's functional efficiency, liquidity, revenues, and profitability by analysing its financial records and statements.
- Ratio analysis is a very important factor that will help in doing an analysis of the fundamentals of equity.
- Analysts and investors make use of the methods for ratio analysis to study and evaluate the fiscal wellbeing of businesses by closely examining the historical performance and monetary statements.
- Comparative data and analysis can give an insight into the performance of the business over a given period of time by comparing it with the industry standards.
- At the same time, it also measures how well a business racks up against other businesses functioning in the same sector.
- विभिन्न प्रकारका अनुपातहरूको विश्लेषण गरी कुनै निष्कर्ष निकाल्ने कार्य
- लेखाविधि अन्तर्गत आय विवरण र वासलातमा समावेश गरिएका शिर्षकहरू बीचको सम्बन्ध अध्ययन गर्ने कार्य

Importance of Ratio Analysis

- Useful in analysis of financial statement
- Express financial trend
- Shows changes
- Useful in planning
- Facilitate in comparison
- Communicates strength and weakness
- Helpful in decision making
- Develop control mechanism

Limitations

- Difficulty in deciding proper basis for comparisons
- Conceptual diversity

नेपाल राष्ट्र बैंक- सहायक द्वितीय पदको पाठ्यक्रममा आधारित

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- Historical data
- Chances of window dressing
- Focus on quantitative part
- Dependent analysis

वित्तीय विश्लेषणका प्रमुख औजारहरू

१. अनुपात विश्लेषण

- दुई वा दुई भन्दा बढी अंकहरूबीच सम्बन्ध स्थापित गर्ने
- ऐतिहासिक तथ्याङ्कलाई सूचनामा रूपान्तरण गर्ने प्रक्रिया
- Balance sheet, Income statement र cash flow statement बुझनयोग्य र तुलनायोग्य बनाउने

२. प्रवृत्ति विश्लेषण-Trend Analysis

३. तुलनात्मक विश्लेषण-Comparative Analysis

४. समान व्यवसाय तुलना-Horizontal analysis

- व्यवसायको तुलना
- समान व्यवसाय तुलना

Types of Ratio

1. **Liquidity Ratio:** That Give a picture of a Company's Short term Financial Situation of solvency

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- a. **Current Ratio** = Current Asset/Current Liabilities
- b. **Quick or Acid Test Ratio** = Quick Asset/Current Liabilities

Quick Assets = Total Current Assets – closing stock – Prepaid expenses

Or, QA= cash + Marketable securities + Account Receivable

2. **Turnover or velocity or Activity Ratio:** The efficiency with which an organization manages and uses assets in generating sales.

- a. **Inventory turnover Ratio** = Cost of goods sold/Average Inventory
- b. **Debtors Turnover Ratio** = Credit sales/Average Debtors
- c. **Average collection Period** = Credit Sales/Total Days
- d. **Fixed Asset Turnover Ratio** = Sales/Net Fixed Assets
- e. **Total Asset Turnover Ratio** = Sales/Total Assets
- f. **Capital Employed Turnover Ratio** = Sales/Capital Employed

Where,

Average Inventory =(opening inv + closing inv)/2

Total Assets = current assets + Fixed Assets

3. **Profitability Ratio:** That use margin analysis and show the return on sales and capital employed.

- a. **Gross Profit Margin** = Gross Profit/Sales

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- b. **Net Profit Margin** = Net Profit/Sales
 - c. **Return on total assets = Net income/Total Assets**
 - d. **Return on equity = Net income/equity**
4. Solvency or Leverage or Capital Structure Ratio: It shows the degree or extent of Debt availed by the organization and its capacity to serve such date
- a. **Debt Ratio** = Long term debt /Total Asset
 - b. **Debt equity Ratio** = Long term debt/Share holder Equity
 - c. **Debt to Total Capital Ratio** = Long term debt/Permanent Capital
 - d. **Interest Coverage Ratio** = EBIT/INTEREST